

Corporate strategies and economic cycles

An economic cycle is comprised of two major parts and four stages. Part 1 is “Peak to Trough”, including the stages of recession and depression. In a recession period, both business activities and asset prices decrease. Banks become more conservative in lending. In a depression period, people are very pessimistic about economic prospects. Many companies go bankrupt and the unemployment rate soars.

Part 2 is “Trough to Peak”, including the stages of recovery and prosperity. In a recovery period, corporations begin to expand their businesses and the unemployment rate drops. In a prosperity period, corporate revenue increases and rental charge soars. In this period, inflation increases such that everything becomes more expensive. Graph 1 summarizes these stages of an economic cycle.

Most companies adopt procyclical strategies for business management. When economic environments are prosperous, they have cash inflows increased and thus expand their business aggressively. When the peak soon passes and recession arrives they face losses and close down some operations in the period of depression. Many over-expanded companies collapse in this period. In fact, these strategies passively react to economic cycles.

Being a survivor in economic downturns is a necessary condition for a company to grow. To deal with recession and depression, companies need to think about countercyclical strategies. More specifically they must adopt countercyclical strategies in the prosperity period. These strategies include:

1. Getting sufficient long-term funds: During economic downturns, a company makes less, even negative profit, and finds it hard to get bank loans. All lenders are extremely conservative in economic downturns. If the company gets sufficient long-term funds from equity issuance, bond issuance or new loans in advance, the company will easily sail through those hard times. It will even be capable of acquiring new assets and expanding its businesses when everything becomes cheaper.

2. Closing down less profitable operations: In the period of prosperity, the company can review the profitability of their business units and close down the unprofitable ones. This saves plenty of cash flow during economic downturns.

3. Tightening credit lines: Many companies become insolvent because their debtors are unable to pay in economic downturns. To avoid this, companies can review credit lines offered to their customers before economic downturns. It can offer discounts for cash sales, especially to those less credible customers.

GRAPH 圖 1

THE STAGES OF A TYPICAL ECONOMIC CYCLE
典型經濟週期的各個階段

